

CHAROTAR UNIVERSITY OF SCIENCE AND TECHNOLOGY (CHARUSAT)
FACULTY OF MANAGEMENT STUDIES (FMS)
BBA PROGRAMME
SEMESTER – IV – UNIVERSITY EXAMINATION, MAY 2018
BM 209, BUSINESS LAWS (Old)
BM 209.1, BUSINESS LAWS (New)

Date: 05/05/2018, Saturday

Time: 10.00 AM to 10.30 AM

Total Marks: 15

Student's ID No.									
Student's Name: _____									
Student's Sign : _____									
Supervisor's Name : _____									
Supervisor's Sign: _____									

Important Instructions:

- All questions are compulsory.
- This is a closed book examination.
- There are two sections in the question paper. Section – I contains Q. No.: 1 which is of 15 marks and Section – II contains total five questions wherein Q. No.: 2 to 5 are of 10 marks each and Q. 6 is a Case study of 15 marks.
- Section – I should be answered in the given question paper and Section – II should be answered in a separate answer book.
- Maximum time allotted for Section – I is 30 minutes. Answer Book for Section – II will be given when the Question Paper for Section – I is returned. However, candidates who complete Section – I earlier than 30 minutes, can collect Answer Book for Section – II immediately after handing over Section – I question paper.
- Figures on the right indicate marks for each question.

SECTION – I

Q.1 Objective Type Questions: This includes questions of the following types:

15

A) Match the Following:

[6]

Q. No.:		Probable Answer Keys		Write Your Answer Here
(i)	The Indian Contract Act	a)	1872	(i)
(ii)	The sale of Goods Act	b)	2000	(ii)
(iii)	The Information Technology Act	c)	1930	(iii)
(iv)	The Right to Information Act	d)	1986	(iv)
(v)	The Consumer Protection Act	e)	2005	(v)
(vi)	Offer + Acceptance	f)	Agreement	(vi)
		g)	Contract	
		h)	Promise	
		i)	Legal Obligation	
		j)	Valid Contract	

B) Multiple-Choice Questions

[3]

(Note: Encircle the correct answer)

vii. When the offer is made to the world at large

- a) General Offer
- b) Specific Offer
- c) Both (a) and (b)
- d) None of these

viii. When the offer is made to a definite person.

- a) General Offer
- b) Specific Offer
- c) Both (a) and (b)
- d) None of these

ix. When contracts are either in writing or in oral.

- a) Implied Contract
- b) Valid Contract
- c) Express Contract
- d) None of these

C) Fill-in the Blanks

[3]

(You may choose from following answers.)

Bilateral Contract	Void Agreement	Contract	Wages	Salary Administration	Incentives
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x. _____ is a reciprocal arrangement between two parties by which each promises to perform an act in exchange for the other party's act.

xi. An agreement to carry out an illegal act is an example of a _____.

xii. it is a _____ whereby seller transfers or agrees to transfer property in goods to the buyer for a price

D) True or False

[3]

(Note: Encircle the correct answer)

xiii. Unilateral contract is an agreement by which a buyer promises to pay for performance of a specified, legal act. (True) or (False)

xiv. Agreement to sell means The property in goods is transferred to the buyer. (True) or (False)

xv. Goods means Every kind of movable property Other than Actionable claims and money. (True) or (False)

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SEMESTER – IV – UNIVERSITY EXAMINATION, MAY 2018

BM 209, BUSINESS LAWS (Old)

BM 209.1, BUSINESS LAWS (New)

Date: 05/05/2018, Saturday

Time: 10.30 AM to 01.00 PM

Total Marks: 55

Note: - (i) All questions are compulsory.

(ii) This is a closed book examination.

(iii) There are two sections in the question paper. Section – I contains Q. No.: 1 which is of 15 marks and Section – II contains total five questions wherein Q. No.: 2 to 5 are of 10 marks each and Q. 6 is of 15 marks.

(iv) Section – I should be answered in the given question paper which is to be submitted at the end of 30 minutes. Section – II should be answered in a separate answer book.

(v) Maximum time allotted for Section – I is 30 minutes.

(vi) Figures on the right indicate marks for each question.

SECTION - II

Q.2 Differentiate Between Sale and Agreement to Sell. **10**

OR

Q.2 Discuss the stages in performance of Letter of Credit. **10**

Q.3 Discuss the Following as per Intellectual Property Rights. **10**

- i. Life and Duration of Patent
- ii. Is A Patent Granted In One Country Enforceable In Other Countries?
- iii. What is not covered under copyright?
- iv. Registration procedure of Copyright
- v. Duration of Copyright

Q.4 Discuss the following Modes of Lending. **10**

- i. Lien
- ii. Pledge
- iii. Hypothecation
- iv. Mortgage

OR

Q.4 Solve the following cases with reference to Sale of Goods Act. Giving proper reasons.

- i. Jagadeesh a Dealer in two wheelers sells a brand new ACCESS 125 for a downpayment of Rs25000/- and the balance in instalments of Rs2000/- per month for 50 months. Is this a contract of sale of goods? Justify. **02**
- ii. Mr Pruthvi Raj Chavan of Bangalore entered into contract for selling 10000 kgs of grapes in his garden in Kolar with Mr Menezes of Goa, a fruit merchant. The grapes were destroyed before the date of the agreement though Mr Pruthvi Raj Chavan was not aware of the same. The grapes could, however, be used for preparing wine. Mr Pruthvi Raj Chavan compels Mr Menezes to purchase the same. Is the contract valid? Justify **02**
- iii. Mr A sold his old Air conditioner to Mr B stating that it is just one year old. Mr B took it depending on A's statement. Later Mr B learns that the Air conditioner is three years old. Can Mr B return the Air conditioner and get back his amount? **02**

- iv. Mr A sold his Home Theatre to Mr B on a condition that Mr B shall check the status through a qualified electronic engineer. Mr B has taken the Home Theatre after his engineer verified and estimated the price. However, Mr A demanded Rs 2000/- more than what the engineer fixed. Mr B agreed and took delivery. The Home Theatre has broken down within one month. Can B return the goods. 02
- v. A purchased 5 old lorries (trucks) from Mr B mentioning that he required lorries to transport the cows from the shandy market to the villages. As the lorries had completed the life of 15 years, the fitness was not given. Without indicating this, B had sold the vehicles. Within 15 days of purchase, two lorries broke down and 6 animals were dead for want of food. Can Mr. A return the lorries and recover the price for the same? Justify. 02

Q.5 Solve the following cases with reference to Consumer Protection Act.

- i. Prakash was in final year of BSc when he sought institute for MCS The institute had stipulated that in order to pursue student has to clear III year exams. He deposited the fees before declaration of result. Seeing that he had failed in exams, he tried to withdraw the admission and requested for a refund, to which the institute did not responded Finally, he sent a legal notice to the institute, and then complaint in the consumer forum. Can Prakash claim for refund? Justify his action. 02
- ii. Bajaj, a resident of Ahmedabad, had purchased a Lay's packet on 28 June 2010 and sensed its being underweight. He wrote twice to the manufacturer. While the first letter got no response, in reply to the second, it offered Bajaj gifts hamper which he refused. Bajaj wrote to PepsiCo. Company refused to accept their fault and gave several unsatisfactory clarifications . Further he took the issue to the Consumer Disputes Redressal Forum, which also gave a favourable ruling . The company asked for the bill of purchase which Bajaj could not produce. Can Mr. Bajaj now claim for the refund of price. 02 10
- iii. Complainant was advised by the doctors to undergo treatment upon suffering from a heart ailment in 2008-09. He then underwent a rare treatment called Enhanced External Counter Pulsation (EECP). The treatment was completed in 45 sittings, cost Rs 118,000. HDFC Ergo rejected the complainant's claim saying the treatment was experimental and not recognized by the insurer. The insurance company also claimed that a policy holder must be hospitalized for at least 24 hours for reimbursement. The complainant claimed that the treatment was recognized by the United States, and 40 hospitals in India use EECP method to treat heart patients. The forum said the documents furnished by Pritiani support his claim. Complainant was a heart patient, who underwent a treatment, which did not require hospitalization, thus he should be reimbursed the amount. Can he claim for the charged price to HDFC Ergo? Justify. 02
- iv. In June 2017, Thomas* purchased a laptop for Rs.22750. After the purchase, he noticed that the laptop was slow to start up. Hence, he sent the laptop to the authorised service center to update the software and change the motherboard and hard drive under the one-year warranty provided. When he went to collect the repaired laptop, he noticed that the screen was scratched. Hence, he requested for a replacement laptop. Can he do so? 02
- v. In June 2016, Angeline bought a pair of shoes from an online website. She was not aware that she would be automatically enrolled in the monthly VIP membership program if she purchased any item from the site. In December 2017, Angeline discovered that she had been billed Rs. 50 by the company when she checked her credit card statement. She reviewed her past credit card statements and realised that she had been billed a total of Rs. 950 (Rs.50 per month) by the company for the past 19 months. Angeline claimed that she was not aware of the automatic VIP membership enrollment and had not bought anything from the website since. She requested to cancel the membership and seek a full refund of Rs.950. 02

Q.6 Solve the following situation with reference to The Indian Contract Act. **15**

- i. A's nephew had run away from his home. He sent his servant to trace his missing nephew. When the servant had left, A then announced that anybody who discovered the missing boy, would be given the reward of Rs. 500. The servant discovered the missing boy without knowing about the reward, he brought an action against A to recover the same. Is the servant entitled to receive the reward? 03

 - ii. A applied for shares of a company in June. The allotment (acceptance) was made in November, Is A bound to take shares? 03

 - iii. A said to B that his car of 1980 model is in an excellent condition, though he knew that this is not true. B purchased the car believing the statement to be true. Is it a valid contract? 03

 - iv. A supplied the wife and children of B, a lunatic, with necessities suitable to their condition in life. Is A entitled to be reimbursed from B's property? 03

 - v. A offered his car to B for Rs. 95000 and wrote that if he did not hear from him (B) within a week, he would assume that he has accepted offer. No reply was given by B. Is it a valid contract? 03
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